MISSION DEREGULATION

THE INSIDE STORY OF HOW PRIME MINISTER NARENDRA MODI IS UNSHACKLING INDIAN BUSINESS FROM THE COMPLIANCE RAJ

By **RAJ CHENGAPPA**

Illustration by **NILANJAN DAS / AI**

IN the summer of 1991, P.V. Narasimha Rao and his finance minister Manmohan Singh dismantled the Licence Raj. Thirty-five years later, Prime Minister Narendra Modi, who on June 10 became the longest-serving elected prime minister, overtaking Jawaharlal Nehru's record of 4,398 days, is attempting something as ambitious. He is systematically demolishing what many in industry now call India's "Regulatory Raj". However, unlike in 1991, there is no single big-bang announcement. Instead, there are thousands of quiet deletions, which include removing criminal clauses, mandatory approvals, redundant licence rules and inspection regimes that served as hurdles for Indian entrepreneurs and treated them as probable offenders.

The exercise now underway is, by any measure, among the most comprehensive pieces of governance reforms India has attempted since liberalisation. It involves the decriminalisation of hundreds of minor offences, deregulation of the maze of rules and compliances, quality-control mandates and state-level approvals. At its philosophical core lies one radical idea: Jan Vishwas. Simply put, the Indian state must learn to trust its own citizens. "The 1991 reforms dismantled industrial licensing, but then went to become a Permissions and Compliance Raj," says Manish Sabharwal, cofounder of TeamLease Services, and a key member of the government's think-tank on regulatory reform.

Sabharwal is right. Between 1991 and 2024, India shed its industrial licensing regime but acquired something almost as cumbersome in its place: an ecosystem of environmental permissions, factory licences, quality-control mandates, municipal approvals, labour inspector visits and annual compliance filings. The smallest manufacturing enterprise operating in a single state had to deal with more than 1,400 compliance obligations annually and track dozens of regulatory changes every single day. Individually, each requirement may have appeared reasonable. Collectively, they formed what businesses experienced as "regulatory cholesterol", a term Sabharwal coined to describe how excessive compliance had clogged the arteries of economic activity.

Aware of several such roadblocks, Modi had, after taking over as prime minister in 2014, got ministries to abolish